



CA INTER MAY 2026

AUDITING & ETHICS

AUDIT OF DIFFERENT TYPES OF ENTITIES

ONE SHOT



Chp 15.1 - Govt. Audit (Audit Of Different Types Of Entities)

➤ Introduction, Meaning & Objective:

 – Student Specific Code

Introduction & Evolution:

It serves as a mechanism or **process for public accounting of government funds**. It has also responded to the needs of the administration.

- a) **Income & Exp Accountability:** No expenditure can be incurred unless:
 - has been **voted upon by Parliament or State Legislatures** &
 - funds must be provided from out of the Consolidated Fund of India or of the State
- b) **Audit by Public Accounts Committee (PAC):** After expenditure has been incurred and the accounts are closed → **Appropriation Accounts** are **prepared** which are **scrutinized** by the **Public Accounts Committee** (a committee constituted by the Parliament of India, for the purpose of auditing the revenue and the expenditure of the Government of India). (MCQ)

 – Student Specific Code

UN Define Govt Audit:

U.N. Handbook on Government Auditing and Developing Countries defines government auditing in a comprehensive manner which is as follows:

Q 1 Define Government Audit & explain its objectives.

Hint: Refer Below "Definition" & "Objectives" given in next Para

Government auditing is

- the objective, systematic, professional, and independent **examination**
- of **Financial, Administrative, and Other** operations (FAO)
- of a **public entity**
- **made subsequently** to their execution.
- for the **purpose** of evaluating and verifying them,
- **presenting a report** containing,
- **explanatory comments on audit findings** together with conclusions and
- **recommendations** for future actions **by the responsible officials**
- and in case of examination of FS, expressing the opinion regarding fairness of presentation.

Objectives:

(Trick: "Govt ko Policies" banana & "Fund manage" karne ke liye "CA" to rakhna hi padega)

- 1) **Accounting for Public Fund:** serves as mechanism or process for public a/cing of Govt funds.
- 2) **Appraisal of Govt. Policies:** It provides public a/cing of operational, mngt, programme & policy aspects of public administration as well as accountability of the officials administering them.
- 3) **Corrective Actions:** Audit observations based on factual data collection also serve to highlight the lapses of lower hierarchy, thus helping supervisory level officers to take corrective measures.
- 4) **Administrative Accountability:** Government audit is neither equipped **nor** intended to function as an **investigating agency**, to pursue every irregularity or misdemeanor to its logical end. The main objective of audit is a **combination of ensuring accountability of administration to legislature and functioning** as an aid to administration.

➤ Comptroller & Auditor General of India (C&AG):

Comptroller & Auditor General of India (C&AG):

The function of Govt. Audit is discharged by independent statutory authority of the C&AG **through the agency of Indian Audit and Accounts Department (IIAD)**.

Audit is a necessary function to **ensure accountability of**

- **the executive to Parliament**, and
- within the executives of **spending agencies to the sanctioning agency** (controlling authorities).

C&AG watches that **the various authorities act in regard to financial matters** in accordance with the **Constitution & the laws** made by Parliament, and conform to the rules or orders.

Legal Framework of C&AG: (Appoint kon karega, Nikalega kon & Power kya hogi)

Appointment & removal:	- He shall be appointed by the President of India - shall not be removed from office except on ground of proven mis-behavior or incapacity. (majority of not less than 2/3rd of members of each parliament House present & voting). - salary and other conditions of service: Decided By Parliament (cannot be varied to his disadvantage after his appointment).						
Tenure	- Constitution lays down a fixed tenure of the office (6yr or age of 65 : W.e. earlier) Salary which is equal to the salary of the Judge of the Supreme Court						
Various constitutional provisions:	<table border="1"> <tr> <td>Article 149</td><td>C&AG shall perform such duties & exercise such powers i.r.t the accounts of the Union & of States and of any other body as may be prescribed by parliament law.</td></tr> <tr> <td>Article 150</td><td>of Constitution provides → accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.</td></tr> <tr> <td>Article 151</td><td>Report of C&AG of Union/State A/c, shall be submitted to President/ Governor who shall cause them to be laid before House of Parliament/State Legislature.</td></tr> </table>	Article 149	C&AG shall perform such duties & exercise such powers i.r.t the accounts of the Union & of States and of any other body as may be prescribed by parliament law.	Article 150	of Constitution provides → accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.	Article 151	Report of C&AG of Union/State A/c, shall be submitted to President/ Governor who shall cause them to be laid before House of Parliament/State Legislature .
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Duties and Powers of C&AG:

Q 2 Explain in detail the **Duties** of Comptroller and Auditor General of India. [RTP 2019]

Answer:

The C&AG (Duties, Powers and Conditions of Service) Act, 1971 lays down duties of the C&AG as under:

Trick: "Generally" C&AG has to "Compile" the A/c's & "Audit the Govt co." then dekho → jo "Receipt" aai → uss-se, kise "Grant" & "Substantial Grant" diya → uss grant se unhone "inventory" kharidi

General Provisions Relating to Audit	It shall be the duty of the C&AG - - to audit & report on all expenditure from the Consolidated Fund of India & State & UT having a Legislative Assembly and to ascertain whether moneys: were disbursed legally, Applied for purpose & whether in conformity to the authority which governs it; Audit & report all transactions of Union & States relating to Contingency Funds and Public A/c's - to audit & report on all trading, manufacturing P&L A/c and balance-sheets and other subsidiary accounts kept in any department of the Union or of a State.
Compile & submit Accounts of Union and States:	Q 3 The C&AG General shall be responsible for compiling the accounts of the Union and of each State from the initial and subsidiary accounts. Explain. (Old MTP) - The C&AG shall be responsible for compiling the A/c's of the Union and of each State from the initial and subsidiary accounts rendered to the audit and accounts offices. - From the Compiled A/c's → Prepare & Show under respective heads the annual receipts & disbursements for the purpose of the Union, each State & each UT having a Legislative Assembly. *It shall submit those accounts to the President or the Governor of a State or Administrator of the UT having a Legislative Assembly, as the case may be,. (Note: C&AG shall assist & provide information to SG, UG & UG with territory, related to accounts, & assist them with information require to prepare yearly FS (However C&AG Act of 1971 has some exception for relieving him of this responsibility to assist them)
Audit of Receipts of Union or States:	Duty of C&AG → to audit all receipts which are payable into the CFI/State/UTLA & to satisfy himself that → rules & procedures designed to secure an effective check on the assessment, collection and proper allocation of revenue and are being duly observed and can examine a/c's for such purpose.
Audit of Grants or	Where any grant or loan is given for → any specific purpose → from CFI/State/UTLA, → to any authority or body, not being a foreign State or international organization, →

Loans:	C&AG shall scrutinize the procedures by which the sanctioning authority satisfies itself w.r.t fulfillment of conditions of giving grant/Loan & shall for this purpose have right of access the books & accounts of that authority or body, after giving reasonable previous notice.
Audit of Receipts & Expenditure:	Where anybody or authority is substantially financed by grants or loans from the Consolidated Fund (India/State/Union Territory having a LA), → audit all receipts and expenditure of that body or authority and to report on the receipts and expenditure audited by him. (Substantially financed means: Where the Amount of grant or loan to a body or authority from the CFI (State/ULTA) in a FY: • ≥ ₹ 25 lakhs & • ≥ 75% of the total expenditure of that body or authority)
Audit of A/c of Stores & Inventory:	The Comptroller and Auditor General shall have authority to audit and report on the accounts of stores and inventory kept in any office or department of the Union or of a State.
Audit of Govt Comp & Corporations :	Duties & powers of the C&AG i.r.t audit of A/c's of Govt companies: Co.Act 2023 - • C&AG shall appoint auditor Under Sec 139(5) & (7) (appointment of 1st & Subsequent Auditor) • direct such auditor the manner in which the A/c required to be audited and • thereupon the auditor so appointed shall submit a copy of the audit report to C&AG of India which, among other things, include the <u>directions, if any, issued</u> by the C&AG the <u>action taken</u> thereon and its <u>impact on the accounts</u> and FS of the company.

Q 4 Discuss the **power of C&AG** in Government audit.

Answer:

The C&AG Act gives the following powers in connection with the performance of his duties-

(**Trick:** **Info mangwaa** sakta h, **BOA mangwaa** sakta h, **unhe inspect** karne khooD ja sakta h → **iccha hoi to Exempt** bhi kar sakta h)

- To put such **questions** or make such observations as he may consider necessary to the person in charge of office & to **call for such information as he may require for the preparation** of any A/c or report
- To require that any **accounts, books, papers & other documents** which deal with or are otherwise relevant to the transactions under audit, be sent to specified places
- To **inspect any office of accounts** under the control of the Union or a State Government including office responsible for the creation of the initial or subsidiary accounts.
- C&AG has **power to dispense (Exempt) any part of detailed audit** of any accounts or class of transactions and to apply such limited checks i.r.t such accounts or transactions as he may determine.

Q 5 What is understood by "Consolidated Fund of India"? What is its importance?

Answer:

- Consolidated Fund of India consists of **all the revenue received from direct and indirect taxes**, all the **loans** taken by the Govt. of India and all the amount of repayment of loans received by the Govt. of India.
- all government expenditure is incurred from this fund.** → **No moneys out of the CFI shall be appropriated except in accordance with law** and for the purposes and in the manner provided in the Constitution.

➤ **Expenditure Audit:**

Basic Standards for expenditure audit: (Authorised & Within Limit)	Q 6 Audit of government expenditure → The basic standards set for audit of expenditure are to ensure that there is provision of funds authorised by competent authority fixing the limits within which expenditure can be incurred. Explain those standards. (IMPORTANT) Answer: The basic standards set for audit of expenditure are to ensure that there are provision funds authorised by competent authority fixing the limits within which expenditure can be incurred. These standards are:
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(Trick: "PP" "PSR" ratio me Profit share karenge to wo Expense nahi kahlaaega)

Student Specific Code

1	Audit against Rules & Orders	The auditor has to see that → expenditure incurred conforms to the relevant provisions of the statutory enactment and is in accordance with the financial rules and regulations framed by the competent authority.
2	Audit of Sanctions:	The auditor has to ensure that each item of expenditure is covered by a sanction, either general or special , accorded by the competent authority.
3	Audit of Provision of Funds:	It contemplates that there is a provision of funds out of which expenditure can be incurred and the amount of such expenditure does not exceed the appropriations made.
4	Propriety Audit:	- Expenditure is incurred with due regard to broad & general principles of financial propriety. - Cases of improper, avoidable, or fructuous expenditure even though the expenditure has incurred inconformity with existing rules & regulations. - Audit aims to secure a reasonably high standard of public financial morality by looking into wisdom, faithfulness & economy of transactions.
5	Performance Audit:	This involves that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them.

Q 7 Govt Dept Audit → Auditor Observed following points → identify Different type of audit applicable [RTP'25]

Some payments were processed without proper approval from the competent authority	Audit of Sanction
A large-scale project was implemented , but no assessment has been made regarding the expected benefits were achieved or not	Performance audit
Funds were utilised from an account for which no budgetary provision was made	Audit against provision
Certain expenditures were made without following the prescribed financial regulations	Audit agai Rule & order
There were instances of unnecessary spending that did not align with financial propriety	Propriety Audit

[Answer Hint Ended]

Let's discuss above topics in Detail:

1) Audit Against Rules & Orders

It aims to ensure that: (ICAI in Para)	- Expenditure conforms to the relevant provisions of the Constitution and of the laws & rules. - Satisfy that expenditure is in accordance with financial rules, regulations and orders. - It's of a quasi-judicial type → It involves interpretation of the Constitution, statutes, rules, regulations and orders. (however final power of interpretation → Not vest with C&AG)
Categories of Rules/ regulation / Orders:	Against which regularity audit is conducted: <u>(Trick: "Govt employee ko salary" deni hai to Pahle pata karo ki Kiss "fund se paisa nikalna hai".. then "Kese nikalna hai ? (Withdraw))</u> - Rules & orders → regulating the conditions of service, pay & allowance, etc. of Govt servants. - Rules & orders → regulating the powers to incur and sanction expenditure from the CFI/ State (and the Contingency Fund of India or of a State); - Rules & orders → dealing with the mode of presentation of claims against government, withdrawing moneys from the Consolidated Fund, Contingency Fund and Public Accounts of the Govt India & States, and in general the financial rules prescribing the detailed procedure to be followed by Govt servants in dealing with government transactions;
Rules are framed by Govt, Auditor shall	✓ Executive Govt should frame rules, regulations & orders, which are to be followed by its subordinate authorities. ✓ Auditors have to see that these rules, regulations, orders are applied properly by subordinate → It is not function of audit to prescribe what such rules, etc shall be made.

examine that Such Rules:	But it is the <u>function of audit to carry out examination of the various rules, regulations and orders issued by the executive authorities to see that:</u> <u>(Trick: Rule banane wale ki Aukaad (Rulemaking power) thi kya rule banane ki, and dimaag bhi thaa kya (Means Sab Consistently banaya n... Not inconsistent)</u> a) In case it's not been separately approved by competent authority, → issuing authority possesses the necessary rule-making power. b) they are not inconsistent with <u>any provisions of Constitution</u> or any laws made thereunder; c) they are consistent with essential requirements of <u>audit & accounts</u> as determined by C&AG; d) they do not come in conflict with orders of, or rules made by, <u>any higher authority</u>;
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Q 8 Audit against rules and orders → These rules, regulations and orders against which regularity audit is conducted fall under various categories. Explain (Many times in Old MTP)

Q. Audit against rules and orders → aims to ensure that the expenditure conforms to the relevant provisions. The job of audit is to see that these rules, regulations and orders are applied properly, not to prescribe what such rules, regulations and orders shall be. Analyse and Explain. (MTP'25]

Hint: Refer above whole table (Audit against Rules & order)

Q 9 What's function of audit while examining various rules & orders w.r.t Audit against Rules & Orders by C&AG?

Hint: Refer above → "It aims to ensure that" & "Rules are framed by Govt" & "Auditor shall examine such rules"

2) Audit of Sanctions

- Ensure that **each expenditure is covered by sanction, either general or special**, of competent authority.
- Audit of sanctions → is directed both i.r.o ensuring that the
 - ✓ expenditure is **properly covered by a sanction**, and also
 - ✓ to satisfy that the **authority sanctioning it is competent** (an authority competent to do so)

3) Audit against provision of funds:

- **Expenditure incurred has been on the purpose for which the appropriation & grant had been provided** and
- that the amount of such expenditure does **not exceed the appropriation made**.

4) Propriety audit:

Q 10 Audit against the propriety seeks to ensure that expenditure confirms to certain principles. Explain.

Answer: (Refer Below → Main Answer is "Some General Principles", However, also mention some "Intro")

Intro: (ICAI in Para)	• Auditors to bring out cases of improper, avoidable, or ineffective expenditure (even though the expenditure has been incurred in conformity with the existing rules & regulations) • Regularity audit alone was not sufficient to protect properly the public interest in spending of money by the executive authorities. • A transaction may satisfy all the requirements of regularity audit insofar as the various formalities regarding rules and regulations are concerned, but may still be highly wasteful. • E.g.: A building may be constructed for installing a telephone exchange but may not be used for the same purpose resulting in unproductive expenditure or a school building may be constructed but used after five years of its completion is a case of avoidable expenditure. • Audit should try to secure a reasonably high standard of public financial morality by looking into the wisdom, faithfulness and economy of transactions. • It is hard to frame any precise rules for regulating course of audit against propriety. Such an objective of audit depends for its acceptance on its appeal to the common sense & straight logic of auditors & of those whose financial transactions are subjected to propriety audit.
Some General Principles:	However, some general principles have been laid down in → Audit against propriety seeks to ensure that expenditure conforms to these principles which have been stated as follows: a) Expenditure should not be prima facie more than the occasion demands. Every public officer is

expected to exercise the same vigilance i.e. expenditure incurred from public moneys as a **person of ordinary prudence would exercise in respect of expenditure of his own money**.

- b) No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly **to its own advantage**.
- c) Public moneys should not be utilised for **benefit of particular person** or section of community **unless**:
- the amount of expenditure involved is **insignificant**; or
 - a claim for the amount could be **enforced in a Court of law**; or
 - the expenditure is in pursuance of a **recognized policy or custom**; and
 - Amount of allowances: → such as travelling allowances, granted to meet expenditure of a particular type → **should be so regulated that the allowances shall not be source of profit** to recipients.

Note: It is responsibility of executive department → to enforce "economy" in public expenditure.

Function of audit → is to bring to the **notice of the proper authorities** of wastefulness in public administration and cases of improper, avoidable and ineffective/unproductive expenditure.

Q 11 "Public moneys should not be utilised for the benefit of a particular person or section of the community". List out the exceptions to this rule while audit against propriety. (Old MTP & RTP)

Hint: Refer above "C Point" of "Some general principles"

Q 12 PQR., a Govt company, constructed a building in conformity with rules and regulations for installing a telephone exchange but not used for the same purpose resulting in the infructuous expenditure. Type of audit ?

Hint: Propriety audit: the auditors try to bring out cases of improper, avoidable, or infructuous expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations. Further, → transaction may satisfy all the requirements of regularity audit → but may still be highly wasteful.

5) Performance audit:

The scope of audit has been extended to cover efficiency, economy and effectiveness audit or performance audit, or "**full scope audit**":

Efficiency audit	whether various schemes/projects are executed & their operations conducted economically & whether they are yielding the results expected of them , i.e., relationship between goods & services produced and resources used to produce them (input-output ratio); & examination aimed to find out extent to which operations are carried out in economical & efficient manner.
Economy audit	whether Govt has acquired the financial, human and physical resources in an economical manner, and whether the sanctioning and spending authorities have observed economy.
Effectiveness audit	is an appraisal of the performance of programmes, schemes, projects w.r.t the overall targeted objectives as well as efficiency of the means adopted for the attainment of the objectives .
Efficiency-cum-performance audit	wherever used, is an objective examination of the financial and operational performance of an organisation , programme, authority or function and is oriented towards identifying opportunities for greater economy, and effectiveness . <u>The procedure for conducting performance audit covers:</u> ✓ identification of topic, ✓ preliminary study, ✓ planning , ✓ execution of audit, and ✓ reporting.

Q 13 SK & Co, a CA firm has been appointed an auditor of Metro Rail project in City A. C&AG requires an objective examination of the financial and operational performance of the project. Explain the nature and scope.

Hint: Mention above whole table "Performance Audit"

➤ Audit of Commercial Accounts:

3 Categories of PSU:	Public enterprises are required to maintain commercial accounts and are generally classified: <table border="1"> <tr> <td colspan="2">1) Departmental Enterprises (i.e., Rail, Post office)</td></tr> <tr> <td>Meaning:</td><td>engaged in commercial & trading operations, which are subject to the same laws, financial and other regulations as other Govt. departments and agencies.</td></tr> <tr> <td>Audit:</td><td>Undertaken in same manner as any Govt Dept where commercial A/c's are kept</td></tr> <tr> <td colspan="2">2) Statutory bodies, corporations (i.e., LIC)</td></tr> <tr> <td>Meaning:</td><td>Created by specific statutes mostly financed by Govt in form of loans, grant, etc</td></tr> <tr> <td>Audit:</td><td> - Depends on nature & type of statute governing the bodies or corporation. - Both financial & accounts audit are conducted by C&AG, → where compilation of accounts is vested with the C&AG. </td></tr> <tr> <td colspan="2">3) Government companies</td></tr> <tr> <td>Meaning:</td><td>set up under the Companies Act, 2013.</td></tr> <tr> <td>Audit:</td><td> - Conducted by their own auditors under the statute appointed by C&AG. - In addition, C&AG conducts a supplementary test audit of the accounts, as well as a periodical financial audit & appraisal of performance. - C&AG also issues direction to company auditors for reporting on specific aspects of their audit work. - C&AG have Audit Board-comprising of representatives of the audit and nominees of government including functional specialists to process reviews or appraisals on performance. </td></tr> </table>	1) Departmental Enterprises (i.e., Rail, Post office)		Meaning:	engaged in commercial & trading operations, which are subject to the same laws, financial and other regulations as other Govt. departments and agencies.	Audit:	Undertaken in same manner as any Govt Dept where commercial A/c's are kept	2) Statutory bodies, corporations (i.e., LIC)		Meaning:	Created by specific statutes mostly financed by Govt in form of loans, grant, etc	Audit:	- Depends on nature & type of statute governing the bodies or corporation. - Both financial & accounts audit are conducted by C&AG, → where compilation of accounts is vested with the C&AG.	3) Government companies		Meaning:	set up under the Companies Act, 2013.	Audit:	- Conducted by their own auditors under the statute appointed by C&AG. - In addition, C&AG conducts a supplementary test audit of the accounts, as well as a periodical financial audit & appraisal of performance. - C&AG also issues direction to company auditors for reporting on specific aspects of their audit work. - C&AG have Audit Board-comprising of representatives of the audit and nominees of government including functional specialists to process reviews or appraisals on performance.
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ROLE OF C&AG [Companies Act 2023: Sec 143 (5), (6), (7)]																			
Power to appoint Govt Company Auditor: Section 143(5)	- Sec 143 (5) states that → For a Govt company C&AG shall appoint the auditor under Sec 139 (5) & (7) i.e. appointment of First Auditor or Subsequent Auditor, & - Direct such auditor manner in which accounts of Govt company are required to be audited & - Auditor shall submit a copy of audit report to C&AG which, among other things, include: ✓ Directions, if any, issued by the C&AG, ✓ Action taken thereon and ✓ its impact on accounts and FS of the company.																		
Power to conduct Supplementary Audit & comment thereupon: 143(6)	C&AG of India shall within 60 days from the date of receipt of audit report have a right to: (a) Conduct a supplementary audit [Sec 143(6)(a)] of the FS of company by such person/persons as he may authorize in this behalf; and for the purposes of such audit, require information or additional information to be furnished to any person or persons, & (b) Comment upon or supplement such audit report [Sec143(6)(b)]: Any comments given by C&AG upon, or supplement to, audit report shall be sent by the company to every person entitled to copies of audited FS under sub-section of section 136 (i.e. every member of the company, to every trustee for the debenture-holder of any debentures issued by the company, and to all persons other than such member or trustee, being the person so entitled) and also be placed before the AGM of company at the same time and in the same manner as the audit report.																		
Test Audit under section 143(6)(b):	C&AG MAY, in case of any company covered under Sec 139 (5)/(7) → if he considers necessary, by an order → cause test audit to be conducted of the accounts and Section 19A of the C&AG (Duties, Powers) Act, 1971, shall apply to report of such test audit.																		
Note: (Qn)																			
Sec 134(3) Co. Act, 2013 → It's Duty of BOD to give explanation on every reservation/adverse remark contained in Auditor's report.																			

- This is absent for C&AG i.e., → BOD Not bound to provide explanation i.r.t. reservation made by C&AG in Supplementary audit report / Test Audit report
- The general standards, principles, techniques and procedures for audit adopted by the C&AG are a mixture of government audit and commercial audit as known and practiced by professional auditors.

Q 14 GSTIN is a NPO, providing IT Infrastructure to Govt & taxpayer. 50% held by Union Govt & 50% by State Govt. Who will appoint Subsequent auditor under companies act & Can any directions be issued to statutory auditors

Hint: It's a Govt. Company, So Govt Co. Or Any company owned/control by CG/SG/UG → C&AG shall appoint. Refer & mention above "Section 143(5)"

➤ Audit of Receipts:

The audit of receipts is neither all pervasive nor as old as audit of expenditure but has come to stay in some countries. Such an audit provides for checking;

(Trick: Kya "Assessment & collection of revenue" ka koi "procedure" banaya kya ? ..and asal me kya wo procedures "follow" bhi hora h yaa fir aise hi sab "irregularity" me chal raha h, agar aisa hai to isse improve kese kare koi suggestion do....)

❖ Relating to Assessment & Realization

- Whether all revenues or other debts due to Govt → **correctly assessed, realized & credited to Govt A/c;**
- Whether **adequate regulations and procedures are framed** by department, to secure an effective check on **assessment, collection** and proper allocation of cases;
- Whether such regulations and **procedures are actually being carried out;**

❖ Refund & Demand

- Whether adequate checks are imposed to **ensure prompt detection & investigation of irregularities**, double refunds, forged refund vouchers or other revenue loss through fraud/willful omission or negligence in tax levy
- Review** of systems & procedures to see that the **internal procedures adequately secure correct & regular accounting of demands collection & refunds** & pursuant of dues up to final settlement & **suggest improvement.**

The **basic principle** of audit of receipts is that it is more important **to look at the general than on the particular**, though individual cases of assessment, demand, collection, refund, etc. A review of the judicial decisions taken by tax authorities is done to judge the effectiveness of the assessment procedure.

- The **extent and quantum of audit required** to be done under each category of audit are **determined by the C&AG**. These are **neither negotiable nor questioned.**

The **audit is conducted both "centrally"** where accounts and original vouchers are kept & **"locally"** where the drawing & disbursing functions are performed depending on the organisational & institutional arrangements.

Institutional mechanisms to follow, it provides for

- ✓ **primary check** by → the **auditor**, (i.e., detail examination of financial records)
- ✓ **test check** by → the **supervisor** and (i.e., review sample transaction, may left in primary check)
- ✓ **control and direction** by → the **group leader**. (i.e., oversee entire process,)

Q 15 Discuss audit of receipts with respect to Government Audit.

Hint: Refer Above "Audit of receipt"

➤ Audit of Stores and Inventories:

Q 16 In case of Government entities, audit of accounts of **stores and inventories** has been developed as a part of expenditure audit. Discuss about the **duties and responsibilities entrusted to C&AG** [Sept'25 also]

Answer:

Trick: Purchase saari **sanctioned** h nd as per **regulation** h → Qty & Price dkho → bacche hoe **balance** ka **valuation** dkho

Audit of the accounts of stores and inventories has been **developed as a part of expenditure audit** with reference to the duties & responsibilities entrusted to C&AG. Audit is conducted:

- Verify that the **purchases are properly sanctioned**, made **economical** and in accordance with the Rules.
- to ascertain whether the **Regulations governing purchase, receipt and issue**, custody, sale and inventory taking of stores **are well devised and properly carried out**.
- Bring to the notice of the Govt **any deficiencies in Qty** of stores held or any defects in Control System
- Ensure that **prices paid are reasonable** and are in agreement with contract, & that the certificates of quality & quantity are furnished by the inspecting and receiving units. (**uneconomical purchase** of stores and losses attributable to defective/ inferior quality are **specifically brought by audit**)
- When **priced accounts** are maintained → Check that **prices charged are reasonable** and reviewed timely
- Check **accounts of receipts, issues and balances** → regarding accuracy, correctness and reasonableness of balances in inventories with particular reference to the specified norms for level of consumption. Any excess or idle inventory is specifically mentioned in report and periodical verification also conducted for existence.
- **Valuation of inventories** seen carefully → so that the value accounts tally with the physical accounts and that adjustment of profits or losses due to revaluation, inventory taking or other causes is carried out.

➤ Reporting Procedures:

- **Article 151 Constitution** → **C&AG shall report** on accounts of Union & States to → **President or Governor** and the letter shall cause the report to be laid before the **legislatures** (Parliament/State legislature).
- **thereafter also publicized** adequately to create a proper climate of public opinion.
- In India, reporting is factual, and **conclusions are left to be drawn by reader**. Nothing debars C&AG from **making recommendations in audit report** but **traditionally this has been left to be done by PAC**.



THANK YOU